

23-2c "... Final ..."

When International Paper makes paper, which Hallmark then uses to make a greeting card, the paper is called an *intermediate good* and the card is called a *final good*. GDP includes only the value of final goods because the value of intermediate goods is already included in the prices of the final goods. Adding the market value of the paper to the market value of the card would be double counting. That is, it would (incorrectly) count the paper twice.

An important exception to this principle arises when an intermediate good is produced and, rather than being used, is added to a firm's inventory of goods for use or sale at a later date. In this case, the intermediate good is taken to be "final" for the moment, and its value as inventory investment is included as part of GDP. Thus, additions to inventory add to GDP, and when the goods in inventory are later used or sold, the reductions in inventory subtract from GDP.